Bajaj Healthcare

24 December 2025

Transitioning into a high-value, integrated pharma player

MANAGEMENT MEET UPDATE

Sector: Pharmaceuticals	**Rating: NR**
CMP: Rs 415	**Target Price: NA**

Stock Info

Sensex/ Nifty	84,666/25,843
Bloomberg	BAJAJHEA IN
Equity shares (mn)	31.6 mn
52-wk High/Low	744.9/394.1
Face value	Rs. 5
M-Cap	Rs13.7bn/USD152.2mn

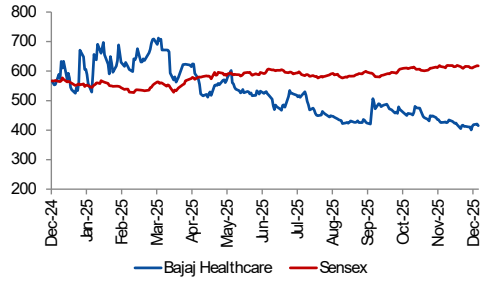
Financial Snapshot (Rs mn)

Y/E Mar	FY23	FY24	FY25
Sales	6,458	4,734	5,426
Gross profit	2,630	2,186	2,562
Gross Margin (%)	*40.7%*	*46.2%*	*47.2%*
EBITDA	1,115	763	826
Margin (%)	*17.3%*	*16.1%*	*15.2%*
PAT	635	(143)	429
EPS	15.6	(30.4)	13.3
RoE (%)	17.3	-5.1	9.2
RoCE (%)	20.3	14.3	10.1

Shareholding pattern (%)

	Mar'25	Jun'25	Sep'25
Promoter	59.19	59.19	59.19
FII	1.05	1.09	1.12
DII	2.52	3.16	2.99
Others	37.25	36.56	36.70

Stock Performance (1-year)



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We interacted with the management of Bajaj Healthcare (BAJAJHEA IN) to understand its business model and growth outlook. BAJAJHEA is a dominant player in the API space and building presence finished dosage formulations (FDF). BAJAJHEA has also the distinction of being the first private Indian company to get government approval and contracts for processing opium gum and concentrated poppy straw seeds (CPS) which is traditionally a government monopoly and highly regulated category. The company is currently integrating its newly-acquired Nashik facility to boost its oncology and complex product capabilities. Management is targeting Rs 10,000mn revenue by FY29 by scaling its contract development and manufacturing organization (CDMO) services for EU/UK clients and expanding the export mix (aims for ~50% contribution). At CMP , the stock trades at ~29x TTM EPS. We do not have a rating on BAJAJHEA.

Key highlights:

- **Formulations business – Expanding export base to ROW markets:** Its FDF segment contributed ~17% to overall revenue in FY25, which translates into Rs 920mn revenue, implying strong ~69% YoY growth. The company has an installed capacity of ~100 million doses per month across tablets, capsules, and powders Its FDF revenue mix is currently skewed toward contract manufacturing and tender-based supplies, largely catering to government institutions and Indian pharmaceutical companies. Management also highlighted a gradual push towards branded formulations through its Bajaj Oncocare division, while pursuing export opportunities in Rest of World (ROW) markets through regulatory filings. The company currently has a portfolio of over 60 FDF products across therapeutic areas.

- **API and intermediates portfolio -remains dominant:** API remains its dominant business, with an installed capacity of ~730 MT per month. Key molecules include chlorhexidine, ascorbic acid, citicoline, and carbamazepine. The revenue concentration is moderate with reasonable diversification, as top 10 customers cumulatively contribute ~25% from 5–6 SKUs. Domestic volume demand in APIs have improved, with pricing largely stable. Export contribution has scaled meaningfully from ~10% to ~35% over the last three years to ~36% in 1HFY26. Manufacturing infrastructure includes 18 API and intermediates plants across Tarapur, Vadodara, and Panoli, with multiple facilities approved by global regulators, including USFDA, TGA, and EU-GMP.

- **CDMO - Key growth engine:** The company's growing CDMO business currently spans ~30 APIs and primarily caters to UK and EU-based generic pharmaceutical companies. BHL has partnerships with large European players, including with the third-largest generics company in Spain and one of the biggest generics player in Europe. Its CDMO portfolio focuses on off patent yet complex molecules, many of which are mature products that require reliable long-term suppliers.

  The company commenced the validation and commercial supplies of several molecules in 1QFY26, supported by the receipt of six new CEPs. The CDMO segment contributed ~8% to revenue in 9MFY25 and is backed by a strong order book. As per management commentary, 17 molecules are currently active under

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CDMO engagements, with full ramp-up expected over the next 2–3 years. The company has filed ~60 DMFs globally, positioning itself as a credible outsourcing partner for regulated markets. Peak revenue potential from CDMO is expected to be driven by scale-up and commercial volumes rather than one-time development fees.

Opium / alkaloid extraction – A high-margin opportunity: Alkaloid extraction is a differentiated, high-margin opportunity business. The Vadodara facility, commissioned in 2023, has the capacity to process 250 MT of opium gum and 2,500 MT of poppy straw annually. This business operates exclusively through government tenders. The opium gum tender contributes ~Rs 300mn to revenue and is a zero working capital model, as raw material procurement and logistics are handled by the government. The poppy straw tender is expected to contribute ~Rs 200mn annually. Overall, this segment contributes 5–8% of revenue and management expects it to provide a substantial EBITDA boost over time, given low competition and the company's position as the sole private sector participant in this space.

Oncology focus through Bajaj Oncocare - A long-term growth vector: BAJAJHEA's oncology operations are housed under the Bajaj Oncocare division, which currently generates ~Rs 40mn revenue but is positioned as a long-term growth vector. The focus is on under-patent formulations across solid tumors, hematological malignancies, and supportive care therapies. Recently acquired Nashik facility has a dedicated oncology section, and management indicated plans to commission a dedicated oncology API plant by 2027. The broader roadmap centers around nationwide expansion and improving access to affordable cancer therapies. One of the important launches in this category include Posaconazole 300 mg which is an anti fungal agent (used as a supportive care in oncology patients), an India-first formulation that significantly reduces pill burden for patients, is the key highlight – a product marketed under more than 15 brands with presence across 14 states.

- **Pipeline, launches and clinical progress:** In the CNS segment, 17 India-focused generics have already been commercialized. Two of the additional 13 under-patent products targeted primarily for EU supplies have already commenced. Near-term launches include Pimavanserin through collaborations and Magtein, expected in 3QFY26. On the clinical front, Suvorexant has received positive recommendation from SEC of CDSCO to conduct phase III clinical trials and is positioned as an India-first opportunity, while Cenobamate is undergoing clinical trials.

  The peptides pipeline includes six molecules under development, with four already scaled up. Semaglutide (GLP-1) is a key molecule in focus. A dedicated peptides facility with 250 kg per annum capacity is scheduled for commissioning in March 2026.

- **Capex, acquisitions and strategic initiatives:** The company has earmarked ~Rs 650mn towards pipeline development, CDMO expansion, and peptides. The acquisition of Genrx's Nashik facility in April 2025 for Rs 101 mn adds a Sinnar-based FDF plant capable of manufacturing tablets, semi-solids, and nutraceuticals. The company took possession of this plant in April 2025 and expects to commence operations post-FDA approvals within 3–6 months. The facility offers flexibility for production shifts and strengthens the company's oncology portfolio.

  BAJAJHEA has strengthened its key management team and on-boarded seasoned professionals to head key functions in sales and marketing, manufacturing and

research & development, to support its ambitious and sustainable growth targets. The company is also strengthening and leveraging its 30-year-old relationships with reputed multinationals and looking to extend its product portfolio to them.

- **Vision for FY29, export ambitions and risks:** Management has articulated Rs 10,000mn revenue target by FY29, with FDF contributing ~20%, exports Rs 4,000–5,000mn domestic markets the remaining. The mix is expected to tilt sharply towards exports over next 2–3 years, with scale ups in regulated market supplies and high margin products such as peptides. Regulatory readiness remains strong, with ~9 CEPs, 60 DMFs and zero 483 observations from USFDA inspections.

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Net Sales	6,570	6,799	6,458	4,734	5,426
Yoy growth %	60.2%	3.5%	-5.0%	-26.7%	14.6%
Cost of goods sold	3,779	4,061	3,828	2,548	2,864
Gross Profit	2,791	2,737	2,630	2,186	2,562
Gross Profit %	42.5%	40.3%	40.7%	46.2%	47.2%
Employee Cost	345	411	423	438	571
Other expenses	1,082	1,140	1,092	985	1,165
EBITDA	1,364	1,187	1,115	763	826
EBITDA %	20.8%	17.5%	17.3%	16.1%	15.2%
Operating Profit	1,433	1,201	1,131	850	1,020
Depreciation	161	176	172	276	279
EBIT	1,202	1,010	943	487	547
EBIT %	18.3%	14.9%	14.6%	10.3%	10.1%
Other Income	69	14	16	87	194
Interest	83	128	177	297	281
Profit Before Taxation & Exceptional Items	1,188	897	782	277	460
Exceptional Income / Expenses				(443)	
Profit Before Tax	1,188	897	782	(167)	460
Tax	357	183	146	(23)	31
Profit After Tax	831	714	635	(143)	429
PAT %	12.7%	10.5%	9.8%	-3.0%	7.9%
EPS	30.1	25.9	15.6	(30.4)	13.3

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Share Capital	138	138	138	138	158
Share Warrants & Outstandings	-	-	-	-	176
Total Reserves	2,446	3,147	3,539	2,646	4,328
Shareholder's Funds	**2,584**	**3,285**	**3,677**	**2,784**	**4,662**
Long-Term Borrowings	797	663	937	386	647
Deferred Tax Assets / Liabilities	22	16	5	(219)	(189)
Other Long Term Liabilities			8	6	3
Long Term Provisions	28	27	15	61	50
Total Non-Current Liabilities	**846**	**705**	**964**	**234**	**510**
Trade Payables	690	1,049	848	894	955
Other Current Liabilities	250	314	475	511	417
Short Term Borrowings	885	1,762	2,894	2,615	1,338
Short Term Provisions	2	95	135	1	13
Total Current Liabilities	**1,826**	**3,221**	**4,352**	**4,021**	**2,723**
Liabilities as Held for Sale and Discontinued Operations				394	247
Total Liabilities	**5,256**	**7,211**	**8,993**	**7,433**	**8,142**
Net Block	2,081	2,697	3,657	2,528	2,384
Capital Work in Progress	570	520	203	48	34
Other Non Current Assets	21	11	112	57	113
Total Non-Current Assets	**2,673**	**3,228**	**3,973**	**2,632**	**2,532**
Inventories	971	1,593	2,088	1,440	1,619
Sundry Debtors	989	1,845	1,942	1,802	2,517
Cash and Bank	142	20	192	29	45
Other Current Assets	320	376	356	373	355
Short Term Loans and Advances	161	150	443	401	319
Total Current Assets	**2,583**	**3,983**	**5,020**	**4,045**	**4,854**
Assets as Held for Sale and Discontinued Operations				755	755
Total Assets	**5,256**	**7,211**	**8,993**	**7,433**	**8,142**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Profit Before Tax	1188.2	896.8	582.2	-1038.7	420.0
Depreciation	161.2	176.4	273.6	314.5	279.2
Interest Expeses	83.0	126.2	228.7	418.8	279.0
Others	0.6	12.1	56.6	964.7	-94.0
Changes In working Capital	-640.9	-1108.4	-1247.6	391.5	-622.1
Tax Paid	-356.5	-96.3	-115.4	-127.9	-45.9
CFO Activities	**435.6**	**6.9**	**-221.9**	**922.9**	**216.2**
Net capex	-620.0	-792.6	-930.7	-190.4	-114.3
Others	-469.4	44.6	-3.6	77.9	-33.9
CFI Activities	**-1089.3**	**-748.0**	**-934.3**	**-112.4**	**-148.2**
CFF Activities	**754.6**	**618.5**	**1313.7**	**-966.0**	**-63.8**
Net Cash Inflow / Outflow	**100.8**	**-122.7**	**157.5**	**-155.5**	**4.3**
Op. Cash & Cash Equivalents	41.6	142.4	19.8	177.2	21.7
Foreign Exchange Fluctuations	0.0	0.0	0.0	0.0	0.0
Closing Cash & Cash Equivalent	**142.4**	**19.8**	**177.2**	**21.7**	**26.0**

Source: Company, Systematix Research

Ratios

YE: Mar	FY21	FY22	FY23	FY24	FY25
Per Share(Rs)					
EPS	30.1	25.9	15.6	-30.4	13.3
CEPS	31.4	28.2	25.6	4.2	22.4
BVPS	81.8	104.0	116.4	88.1	147.6
Return Ratio(%)					
RoCE	35.1	25.3	20.3	14.3	10.1
RoE	32.2	21.7	17.3	-5.1	9.2
Balance Sheet					
Net Debt : Equity (x)	0.6	0.7	1.0	1.1	0.4
Working Capital Days	82	148	228	217	254
Valuation(x)					
PER	13.8	16.1	26.6	-13.7	31.3
EV/EBITDA	5.9	10.1	10.2	14.2	28.3
EV/Sales	1.2	1.8	1.9	2.4	4.3

Source: Company, Systematix Research

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